were in office. If your natural reaction was to answer "Republican" to this question, you may suffer from availability bias.

Implications for Investors

In the following we summarize the primary implications for investors of susceptibility to availability bias in each of the four forms we've reviewed. In all such instances, investors ignore potentially beneficial investments because information on those investments is not readily available, or they make investment decisions based on readily available information, avoiding diligent research.

AVAILABILITY BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. *Retrievability.* Investors will choose investments based on information that is available to them (advertising, suggestions from advisors, friends, etc.) and will not engage in disciplined research or due diligence to verify that the investment selected is a good one.
2. *Categorization.* Investors will choose investments based on categorical lists that they have available in their memory. In their minds, other categories will not be easily recalled and, thus, will be ignored. For example, U.S. investors may ignore countries where potentially rewarding investment opportunities may exist because these countries may not be an easily recalled category in their memory.
3. *Narrow range of experience.* Investors will choose investments that fit their narrow range of life experiences, such as the industry they work in, the region they live in, and the people they associate with. For example, investors who work in the technology industry may believe that only technology investments will be profitable.
4. *Resonance.* Investors will choose investments that resonate with their own personality or that have characteristics that investors can relate to their own behavior. Taking the opposite view, investors ignore potentially good investments because they can't relate to or do not come in contact with characteristics of those investments. For example, thrifty people may not relate to expensive stocks (high price/earnings multiples) and potentially miss out on the benefits of owning these stocks.